Benny Morris concludes that the Arab rejection of the 100,000 offer did not cause Israel much disappointment. In reality, its leaders were quite comfortable with the situation of no-war-and-no-peace. In mid-June, Ben-Gurion described Abba Eban's thinking as follows: "He doesn't see the need to run after peace. An armistice is sufficient for us. If we run after peace, the Arabs will demand of us a price—borders or refugees or both. We will wait a few years." In quoting Abba Eban, Ben-Gurion must have been conveying his own opinion as well. Secretary of State Acheson described Israel's way of thinking as follows: "Israel prefers the status quo. The objectives of the Israeli government appear to be: (1) absorption of almost all Arab refugees by Arab states, and (2) de facto recognition of the armistice lines as boundaries."

On August 3, Israel formally submitted the 100,000 proposal to the Conciliation Commission, where it was rejected out of hand. At the end of August the delegates wrapped up their discussions, and on September 12 the Lausanne Conference broke up and was not reconvened. The Conciliation Commission continued to distribute reports on the refugee problem into the 1950s.

Benny Morris summed up the end of 1949 as follows: "Palestine's exiled Arabs would remain refugees to be utilized during the following years by the Arab states as a powerful political and propaganda pawn against Israel. The memory or vicarious memory of 1948 and the subsequent decades of humiliation and deprivation in the refugee camps would ultimately turn generations of Palestinians into potential or active guerrillas and terrorists and the 'Palestinian problem' into one of the world's most intractable."

The next chapter of the saga of the refugees took place on the sidelines of the 1956 Sinai Campaign. The war began after the establishment of a French-British-Israeli coalition. The goal of the two powers was to regain control of the Suez Canal, the nationalization of which Egyptian president Gamal Abdel Nasser had announced at the end of July 1956. France had another important interest—the weakening of the Egyptian president, who was providing military, political, and financial aid to the organization FLN, which was fighting for Algerian liberation from French rule. Israel joined the coalition because its goals were in line with its own interests. The war began on October 29, 1956, and ended on November 7, but not before the Soviet Union threatened to intervene and implied that it would consider